

There's plenty of risk in fast growers, especially in the younger companies that tend to be overzealous and underfinanced. When an underfinanced company has headaches, it usually ends up in [Chapter 11](#). Also, Wall Street does not look kindly on fast growers that run out of stamina and turn into slow growers, and when that happens, the stocks are beaten down accordingly.

I've already mentioned how electric utilities, especially the ones in the Sunbelt, went from being fast growers to being slow growers. In the 1960s plastics was a high-growth industry. Plastics were so much on people's minds that when the word "plastics" was whispered to Dustin Hoffman in the movie *The Graduate*, the word itself became a famous line. Dow Chemical got into plastics, enjoyed a vigorous growth spurt, and was beloved as a fast grower for several years. Then the growth slowed down and Dow became a sober chemical company, a sort of plodder with cyclical overtones.

Aluminum was a great growth industry even into the 1960s and so was carpets, but when these industries matured, the companies within them became GNP-type growers, and the stock market yawned.

So while the smaller fast growers risk extinction, the larger fast growers risk a rapid devaluation when they begin to falter. Once a fast grower gets too big, it faces the same dilemma as Gulliver in Lilliput. There's simply no place for it to stretch out.

But for as long as they can keep it up, fast growers are the big winners in the stock market. I look for the ones that have good balance sheets and are making substantial profits. The trick is figuring out when they'll stop growing, and how much to pay for the growth.

THE CYCLICALS

A cyclical is a company whose sales and profits rise and fall in regular if not completely predictable fashion. In a growth industry, business just keeps expanding, but in a cyclical industry it expands and contracts, then expands and contracts again.

The autos and the airlines, the tire companies, steel companies, and chemical companies are all cyclicals. Even defense companies behave like cyclicals, since their profits' rise and fall depends on the policies of various administrations.

AMR Corporation, the parent of American Airlines, is a cyclical, and so is Ford Motor, as you can see by the chart. Charts of the cyclicals look like the polygraphs of liars, or the maps of the Alps, as opposed to the maps of Delaware you get with the slow growers.